

# Daily Watchlist Builder

A step-by-step guide to building your trading watchlist every morning.

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Your watchlist is your preparation. A focused list of 3–5 names is infinitely more valuable than 50 stocks you cannot track. Here is the exact process for building a high-quality watchlist before the open — and how to filter ruthlessly.

STEP 1

## Run Your Pre-Market Scanner

Filter for stocks with significant pre-market volume — at least 2x their normal pre-market average. These are the stocks that something is happening to. No volume, no interest — skip it.

STEP 2

## Check for a Catalyst

Every strong pre-market mover should have a reason. Earnings beat, FDA approval, major contract, analyst upgrade. Random gap ups with no news have low follow-through.

STEP 3

## Check the Technical Setup

Is the stock at a key level? Breaking out of a base? The best trades combine a catalyst with a clean technical setup.

STEP 4

## Rank and Cut

After filtering you may have 10–15 names. Rank them by conviction. Cut to your best 3–5. Ignore everything else once the market opens.

WATCHLIST SCORING SYSTEM

Score each candidate 1–3 in each category. Total 9–12 = strong candidate. Under 6 = skip.

| CRITERIA          | 1 POINT            | 2 POINTS       | 3 POINTS                                |
|-------------------|--------------------|----------------|-----------------------------------------|
| Catalyst quality  | Vague / rumor      | Real but minor | Strong (earnings beat, FDA, major deal) |
| Pre-market volume | 1–2x average       | 2–5x average   | 5x+ average                             |
| Technical setup   | No clear level     | Some structure | Clean level / pattern                   |
| Float / profile   | Large cap, low vol | Mid cap        | Small cap with high short interest      |

WHAT TO AVOID ON YOUR WATCHLIST

| RED FLAG                            | WHY IT IS DANGEROUS                                              |
|-------------------------------------|------------------------------------------------------------------|
| Stocks moving on no news            | Hard to read, hard to hold, no thesis to defend                  |
| Too many correlated names           | You are taking one big sector bet, not multiple trades           |
| No defined technical level          | If you cannot find a stop, you cannot size correctly             |
| Already up 20%+ pre-market          | You missed the move — wait for a pullback setup or skip it       |
| Earnings today (if not intentional) | Binary event risk — only trade earnings if that is your strategy |

TST RULE

The hardest skill in trading is not finding setups — it is saying no to the ones that do not meet your criteria. A shorter watchlist with higher conviction beats a long list of mediocre setups every single day.

